RIPHAH
INTERNATIONAL UNIVERSITY

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Startup Capital and Financial Plan

1) Facilities & Equipment Requirement (Final Minimal Setup)

This section outlines the initial setup costs for essential office infrastructure and development needs.

Sr. No	Description	No. of Units	Cost per Unit (Rs.)	Amount (Rs.)
1	Office Furniture	1	100,000	100,000
2	Laptop	3	60,000	180,000
3	Other Office Supplies (router, wires, fan, etc.)	1	50,000	50,000
4	Internet Connection (Installation)	1	10,000	10,000
5	Electricity Connection (Installation)	1	15,000	15,000
6	Legal Fee	1	75,000	75,000
7	Cloud Infrastructure Setup	1	50,000	50,000
8	GPS API Integration Setup	1	30,000	30,000
9	Air Conditioner	1	52,000	52,000
10	Development Cost (App, Backend, Frontend)	1	600,000	600,000
11	Initial Marketing Expense	1	20,000	20,000
	Total			**1,232,000**

2) Working Capital (3 Months)

Working capital ensures smooth monthly operations including salaries, utilities, and subscriptions.

Sr. No	Description	Monthly (Rs.)	3 Months Total (Rs.)
1	Office Staff Salaries	100,000	300,000
2	Rent Expense	50,000	150,000
3	Electricity Bill	15,000	45,000
4	Internet Subscription	5,000	15,000
5	Cloud Infrastructure	8,000	24,000
6	GPS API Subscription	3,000	9,000
7	Web Maintenance Cost	15,000	45,000
	Total	**196,000**	**588,000**

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3) Start-up Capital Requirement

Summary of total funding needed to launch the business.

Sr. No	Description	Amount (Rs.)
1	Facilities & Equipment	1,232,000
2	Working Capital (3 mo.)	588,000
	Total	**1,820,000**

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4) Sources of Finance

The capital requirement will be fulfilled through a mix of equity and debt.

Source	% Share	Amount (Rs.)
Equity	64%	1,164,800
Debt	36%	655,200
Total	**100%**	**1,820,000**

PROSPECTED FINANCIAL STATEMENTS

5) Revenue Source & Pricing Strategy

We will generate revenue by offering relocation services priced at Rs. 40,000 per unit. With 1,100 projected sales in Year 1, expected revenue is Rs. 44 million.

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6) Sales Budget (Year 1)

Projected monthly units sold with cumulative revenue.

Month	Units Sold	Unit Price (Rs.)	Revenue (Rs.)
Jan	20	40,000	800,000
Feb	30	40,000	1,200,000
Mar	50	40,000	2,000,000
Apr	70	40,000	2,800,000
May	80	40,000	3,200,000
Jun	100	40,000	4,000,000
Jul	120	40,000	4,800,000
Aug	150	40,000	6,000,000
Sep	150	40,000	6,000,000
Oct	130	40,000	5,200,000
Nov	100	40,000	4,000,000
Dec	100	40,000	4,000,000
Total	**1,100**		**44,000,000**

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7) Cost Budget Breakdown (Per Unit)

All core costs involved in delivering a relocation unit.

Component	Description	Rs.	% of Unit Cost
Fuel	Petrol/Diesel	12,000	30%
Truck Owner Share	Pay-per-job fee	8,000	20%
Movers	Operational labor	1,600	4%
Boxes	Packaging materials	1,200	3%
Marketing	Per job ad cost	800	2%
Platform Insurance	Liability Buffer	800	2%
Household Insurance	For customer belongings	1,200	3%
Overheads	Tools, punchers, etc.	400	1%
Margin & Platform	Profit, infra, salaries	14,000	35%
Total		40,000	100%

Formulas Used:

- **Direct Cost Per Unit:** Rs. 40,000 - 14,000 = Rs. 26,000
- **COGS (Annual):** $1{,}100 \times 26{,}000 = 28{,}600{,}000$

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8) Income Statement (Year 1)

Summarized profitability based on revenue, COGS, and expenses.

Item	Amount (Rs.)
Revenue	44,000,000
Cost of Goods Sold	28,600,000
Gross Profit	**15,400,000**
Operating Expenses	2,352,000
Profit Before Tax	13,048,000
Tax (15%)	1,957,200
Net Profit (PAT)	**11,090,800**

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9) Financial Ratios

Key performance metrics derived from the financials.

- **Gross Profit Margin:** $\frac{\text{Gross Profit}}{\text{Revenue}} \times 100 = \frac{15{,}400{,}000}{44{,}000{,}000} \times 100 = 35\%$
- **Net Profit Margin:** $\frac{\text{PAT}}{\text{Revenue}} \times 100 = \frac{11{,}090{,}800}{44{,}000{,}000} \times 100 = 25.21\%$
- **Return on Equity (ROE):** $\frac{\text{PAT}}{\text{Initial Equity}} \times 100 = \frac{11{,}090{,}800}{1{,}820{,}000} \times 100 = 609.9\%$

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10) Break-even Analysis

Evaluates how many sales are needed to recover fixed annual expenses.

Formula:

$$\text{Break-even Units} = \frac{\text{Annual Operating Expenses}}{\text{Contribution per Unit}} = \frac{2{,}352{,}000}{14{,}000} \approx 168 \text{ units}$$

✅Break-even achieved after 168 relocations (~15.3% of total planned sales).

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11) Payback Period

Measures how quickly the initial investment is recovered from profits.

Formula:

$$\text{Payback Period} = \frac{\text{Initial Investment}}{\text{PAT}} = \frac{1{,}820{,}000}{11{,}090{,}800} \approx 0.16 \text{ years} \approx 59 \text{ days}$$